



THE CHARTERED INSURANCE INSTITUTE

ADVANCED DIPLOMA

OCTOBER 2005 EXAMINATION PAPER

UNIT 556
LIFE AND DISABILITY CLAIMS

Three hours are allowed for this paper, which is in three parts.

READ THE INSTRUCTIONS OVERLEAF CAREFULLY BEFORE ANSWERING ANY QUESTIONS.

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556 – Life and disability claims

CANDIDATE INSTRUCTIONS

READ THE INSTRUCTIONS BELOW BEFORE ANSWERING ANY QUESTIONS

Three hours are allowed for this paper.

You should answer **all** questions in Part I, the compulsory question in Part II and **three** out of the five questions in Part III.

The paper carries a total of 200 marks, as follows:

Part I	48 marks
Part II	50 marks
Part III	102 marks

You are advised to spend no more than 45 minutes on Part I. You are strongly advised to attempt **ALL** the required questions to gain maximum possible marks.

In attempting the questions, you may find it helpful in some places to make rough notes in the answer booklet. If you do this, you must cross through these notes before you hand in the booklet.

Answer each question on a new page. If a question has more than one part, leave several lines blank after each part.

It is important to show all steps in a calculation, even if you have used a calculator.

- Fill in the information requested on the answer booklet and on form B.
- You are allowed to write on the inside pages of this question paper but you must **NOT** write your name, candidate number, PIN or any other identification **ANYWHERE** on this question paper.
- The answer booklet and this question paper **MUST BE HANDED IN PERSONALLY BY YOU** to the invigilator before you leave the examination. **FAILURE TO COMPLY WITH THIS REGULATION MAY RESULT IN YOUR PAPER NOT BEING MARKED AND YOU MAY BE PREVENTED FROM ENTERING THIS EXAMINATION IN FUTURE.**

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PART I

**Answer ALL questions in Part I.
Each question is worth six marks.**

Note form is acceptable where this conveys all the necessary information.

1. (a) What is a functional capacity assessment? (4 marks)
(b) Briefly outline the circumstances when one might be used. (2 marks)
2. Outline why a Death Abroad Questionnaire might be issued when assessing a death claim.
3. What does the term 'survival period' mean in relation to critical illness claims? How does it affect the assessment of critical illness claims?
4. What steps should be taken when a claim is submitted and the original policy documentation is said to be lost?
5. What provision does the ABI Statement of Long-Term Practice make in respect of interest payments where claim settlement has been delayed?
6. Briefly compare and contrast the procedures covered under the angioplasty and coronary artery disease surgery definitions of a critical illness insurance policy.

7. What are the three stages of the cardiac cycle? Briefly describe each.
8. What is schizophrenia? What are its functional effects in relation to a claim for incapacity?

FOR USE WITH QUESTION 9 ONLY

Extract of terms and conditions from the group scheme and the individual policy.

Group scheme extract

Deferred period

Means the first 13 consecutive weeks of the period of incapacity.

Period of disability

Means the period of membership of the scheme which commences with the date the member is first absent from work as a result of disability.

Salary or wage

Is calculated at the date of joining and on 5 April each year thereafter and means annual basic salary or wage and does not include bonuses, overtime, directors fees or similar payments. For employees partly remunerated by commission the average annual commission earned during the previous three years will be included.

Income protection benefit

The income protection benefit will be restricted to the total of:

- 75% of the member's weekly earned income up to an annual amount of £55,000, LESS State incapacity benefits, other income benefits received from the employer, and the amount of any early retirement pension.

Individual policy extract

Deferred period

The deferred period is the first 26 consecutive weeks during which the life assured is suffering from incapacity. There is no entitlement to income protection benefit during this period.

Pre-incapacity income

Pre-incapacity income means the life assured's total earned income (basic salary plus commission, bonuses and overtime earnings) in the year prior to the onset of incapacity.

Limitation of benefit

Income protection benefit will be limited to 60% of pre-incapacity income. From this figure will be deducted:

- all benefits payable under any other insurance policies providing income during incapacity;
- any State benefits to which the life assured is eligible, irrespective of whether they are claimed or not;
- any continuing income from employment;
- any form of ill-health retirement pension.

Medical evidence presented to support claim

The Chapel Clinic
52 St Andrews Street
Wareside
Hertfordshire
SG14 8BJ

28 January 2005

TO WHOM IT MAY CONCERN

RE: Tom Sheffield – 13 September 1964
50 Cowper Crescent, Bengoe, Hertford, SG9 2QN

Mr Sheffield attended this clinic for a two week period in early January to obtain treatment for symptoms of work stress, anxiety and depression.

He presented complaining of fatigue, tearfulness and a loss of interest in life. He had last attended the work place before Christmas 2004 and said he had no intention of returning. He complained that his life had been made hell over the last year as a result of increasing demands on his time, too much work and not enough help. He commented that he no longer felt able to cope.

Mr Sheffield had first attended his GP complaining of these symptoms in November 2004. He was prescribed some anti-depressants, but has since stopped taking them as he complained that they made him feel nauseous. His referral to this clinic was arranged privately under the terms of his employer's medical insurance.

Mr Sheffield gained some insight into his condition during the period he received counselling at the clinic. While his symptoms did resolve to some extent during this period he remained adamant that he would be unable to work as that would simply cause his problems to reoccur.

Given Mr Sheffield's experiences over the last year I think it is likely he will be unable to return to work in the near future and highly likely that he may never be able to return to that working environment.

Dr J Howard

PART II

Compulsory question.

This question is worth 50 marks.

9. Tom Sheffield, aged 41, is a regional sales manager for a large manufacturing company. He has worked for the firm for 14 years.
- He joined the firm's group income protection scheme at the first opportunity when it was introduced in 1995.
 - He took out an individual income protection policy with DUD Life in 2003.

An extract of the terms and conditions from the group scheme and the individual policy are outlined on page 6.

Mr Sheffield submits a claim to your office, DUD Life in February 2005, claiming he has not been able to work since the end of December 2004 due to work related stress, anxiety and depression.

In the 12 months prior to disability Mr Sheffield's total earned income was £55,000.

- (a) What evidence should be sought to determine the maximum amount payable under the individual policy and why? How is this likely to differ from the financial evidence obtained on this point by the group scheme provider?
(18 marks)
- (b) Explain the issues that would need to be considered when seeking to determine if and to what extent there was to be contribution between the group scheme and the individual policy in the payment of income protection benefit. State what proportion of the total benefit you believe should be paid by each policy.
(14 marks)
- (c) Review and consider the medical evidence shown on page 7.

What further evidence would you want to obtain to determine whether or not Mr Sheffield satisfies the definition of incapacity under each arrangement?
(18 marks)

Part III questions can be found on pages 10 – 11

PART III

**Answer THREE of the following FIVE questions.
Each question is worth 34 marks.**

- 10.** When considering the provision of medical evidence to support a claim:
- (a) briefly outline why, from whom, and when it is obtained; (17 marks)
 - (b) describe the main legislative constraints that govern the release and processing of such information. (17 marks)
- 11.**
- (a) How does the ABI Statement of Best Practice for Critical Illness (SBPCI) define benign brain tumour? (3 marks)
 - (b) Discuss the main considerations an assessor should take into account when assessing a claim under this definition. (21 marks)
 - (c) Why is this included as a critical illness when the general cancer definition excludes benign tumours? (10 marks)
- 12.**
- (a) How do insurers typically define an 'accident'? (5 marks)
 - (b) Discuss whether an insurance company would consider the death of a drunk driver in a road traffic accident to be 'accidental'. Illustrate your answer with appropriate case law. (29 marks)
- 13.**
- (a) Discuss the information recorded on an English death certificate and its relevance to the assessment of a claim? (22 marks)
 - (b) What might prompt a claims assessor to issue an ABI Circular on a death claim? Describe the process involved with this. (12 marks)

14. (a) What deductions may be taken into account under an income protection limitation of benefit condition? (6 marks)
- (b) For each type of deduction provide details of how it is calculated and how insurers may choose to treat it. (28 marks)